2020 Profit Analysis – Key Insights

1. High Customer Dependency

- *Electricalsara Stores* drove ₹65.6M (46.1%) of revenue and 50.6% of profit.

  Highlights customer concentration risk; diversification needed.

2. Underperforming Markets

- *Bengaluru* (–0.01), *Lucknow* (–0.04) missed targets.

  Recommend revisiting sales and cost strategies.

3. Profit Margin Decline

- Margin dropped from 4% (Jan) to 0.9% (Apr), while revenue held at ₹20M–₹30M.

  Indicates pricing or operational inefficiencies.

4. Low-Profit Customers

- *Electricalssale Stores*: ₹142K revenue, 0% profit.

  Suggest reevaluation or exit to improve profitability.

5. Growth Opportunities

- *Bhubaneshwar* (+0.09) & *Hyderabad* (+0.06) exceeded targets.

  High growth potential—worthy of investment.

6. Balanced Market Model

- *Mumbai*: ₹20M+ revenue (14.1%), 12.1% profit.

  Performance stability—ideal for benchmarking.

7. Revenue–Profit Mismatch

- *Ahmedabad*: 12.6% revenue vs. 9.4% profit.

  Indicates potential margin leak; needs cost-profit review.

8. Low-Contribution Markets

- *Kochi, Patna, Kanpur*: Each <2% revenue/profit share.

  Reassess strategic value or support levels.

9. Systemic Margin Decline

- Q1–Q2 trend shows steady margin drop despite steady revenue.

  Likely deeper operational or pricing issues.

10. Client Efficiency Example

- *Atlas Stores*: Lower revenue, 4.5% margin
- *Control*: Higher revenue, only 3.2% margin

  Demonstrates profitability ≠ volume—efficiency matters.

11. Target Simulation Tool

- Used profit target slider (e.g., 1%) to align performance with goals.

  Enabled clear goal-tracking and performance visibility.